

RETAILSTACKER AI VS. SCALIO (POWERED BY CREATIFY API)

Strategic Pricing, Credit Pass-Through & Reseller Profitability Structure

Executive Summary: Integrating the Creatify API allows RetailStacker AI to offer top-tier video ad generation, but introduces a concrete USD cost structure (\$99/mo for 500 API credits, approx Rs. 16.50 per credit). To compete with Scilio while remaining highly profitable, RetailStacker AI uses a strategic credit allocation model. By pricing our subscriptions to target **double the video volume of Scilio** at matching price points, we capture the market while covering Creatify's direct API fees.

1. Direct Product & Pricing Plan Comparison

Metric / Feature	Scilio Growth	Scilio Pro	RetailStacker Starter	RetailStacker Growth
Monthly Cost	Rs. 999 / mo	Rs. 1,999 / mo	Rs. 999 / mo	Rs. 1,899 / mo
User Credits	100 credits	250 credits	50 credits (using Creatify scale)	125 credits (using Creatify scale)
Video Ads / Reels	~5 videos / mo (20 credits/video)	~12 videos / mo (20 credits/video)	~10 videos / mo (5 credits/video)	~25 videos / mo (5 credits/video)
Cost Per Video	Rs. 200.00	Rs. 166.58	Rs. 99.90	Rs. 75.96
User Advantage	Baseline (1x)	Baseline (1x)	Double the Videos (2x)	2.2x More Videos

Key Pricing & Value Strategies:

- **Capitalizing on Credit Cost Discrepancy:** Scilio penalizes its users heavily by charging 20 credits per video render. Since our backend uses Creatify (which consumes only 5 credits per standard video ad render), we can offer double the video output for the same price point.
- **Starter Plan Strategy (Rs. 999):** We charge matching pricing to Scilio's entry tier, but offer 10 complete video renderings instead of 5, providing an undeniable conversion hook for merchants.
- **Growth Plan Scalability (Rs. 1,899):** We offer 25 full videos. At this volume, we utilize Creatify Pro credit pricing models, reducing our unit cost to ensure high profit margins.

2. Unit Cost & API Pricing Structure (Pass-Through)

By integrating the Creatify API, RetailStacker AI incurs a base cost of \$99/mo (approx Rs. 8,250) for 500 credits. To ensure sustainable business operations, we calculate our cost-per-video pass-through as follows:

Billing Component	Unit Details	Cost in INR	Business Logic
Creatify API Base Cost	\$99 / month	Rs. 8,250.00	Fixed base infrastructure cost for standard account setup.
Cost Per API Credit	Rs. 8,250 / 500 credits	Rs. 16.50	Cost per single raw API credit on the starter package.
Cost Per Video Render	5 credits per video ad	Rs. 82.50	Direct cost to render one complete UGC video ad via Creatify.
Pro Plan Scale Cost	Bulk API credit scale	Rs. 50.00	Unit cost per video drops as we scale up to higher volume plans.

3. Profit Margin Scenarios for RetailStacker AI

Here are the profit margins for our platform subscriptions, assuming worst-case scenario where users utilize 100% of their credits:

Plan Name	Retail Price (A)	User Limit	API Cost (B)	Net Profit / Margin %
RS Starter Plan	Rs. 999 / mo	10 videos	Rs. 825.00	Rs. 174.00 (17.4%)
RS Growth Plan (Starter Scale)	Rs. 2,299 / mo	25 videos	Rs. 2,062.50	Rs. 236.50 (10.3%)
RS Growth Plan (Pro Scale)	Rs. 1,899 / mo	25 videos	Rs. 1,250.00	Rs. 649.00 (34.1%)

Note: SaaS platforms rarely hit 100% credit usage. At a standard 70% average platform utilization rate, the RS Starter plan yields a comfortable 42.1% net profit margin on the base \$99 Creatify API package.